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and 'another aggravating factor . . . is the deficient knowledge of consumers as to how to improve their choice of commodities' (p. 231); hence the price mechanism is inadequate and needs supplementing. Government must play a larger part than in the more advanced countries.

There is considerable force in Professor Bonné's arguments. But too often the Government means in practice a harassed civil servant, promoted to a responsible executive position after scrambling through a University degree, anxious to avoid censure by following regulations and precedents, and hoping that he will give the right instructions and that somehow or other they will get carried out. Imperfect as it may be, a good deal can still be done through the price-mechanism, as India, for example, discovered some years ago when the removal of Government controls on food prices led to a substantial increase in agricultural output.

F. BENHAM

ECONOMIC THEORY AND UNDER-DEVELOPED REGIONS. By Gunnar Myrdal. London, Duckworth, 1957. xii+168 pp. Index. 18s.

PUBLIC FINANCE AND LESS DEVELOPED ECONOMY. With Special Reference to Latin America. By Paul A. M. Van Philips. The Hague, Martinus Nijhoff; London, Batsford, 1957. xvi+185 pp. Bibliog. Fl. 13.50. 27s.

Economic Theory and Under-developed Regions, by the author of *An American Dilemma*, is based on a series of lectures delivered in Cairo in 1955. It examines the basic assumption of classical economic theory, and of the theory of international trade in particular, in relation to the problems of underdeveloped regions. The author puts forward a theory—or hypothesis—based on the assumption that economic inequalities between nations are increasing. There is a cumulative process going on in both directions—the rich are getting richer and the poor are getting poorer. The Bible, the author argues, gives the perfect expression of this cumulative process: 'For unto everyone that hath shall be given, and he shall have abundance; but from him that hath not shall be taken away even that which he hath.' The author asserts that regional inequalities are much wider in the poorer countries than in the richer ones; and that while regional inequalities have been diminishing in the richer countries, the tendency has been the opposite in the poorer countries.

He believes that (p. 41) 'the more effectively a national state becomes a welfare state . . . the stronger will be both the urge and the capacity to counteract the blind market forces which tend to result in regional inequalities; and this, again, will spur economic development in the country, and so on and on, in circular causation'.

I do not think that either the assumptions of growing international inequalities or the conclusions at which the author arrives in this book are adequately supported by statistical or other proof. I believe that there is a basic confusion in the argument which results from the assumption that regional inequality is necessarily deleterious—it may well be the only way in which incomes *per capita* in the country as a whole can be raised. Indeed, the very concept of regional inequality is not adequately defined or examined. The book is written with fervour—but unfortunately it repeats many unproved and, I believe, erroneous conceptions. The remarks on colonialism are a case in point. They often merely assume the validity of current propaganda, and misconceive the nature of the basic process of colonization in the past, and the problems arising therefrom today.

In *Public Finance and Less Developed Economy* Mr Philips has written a useful survey of current theories and concepts in this field, and his book contains some original ideas and interpretations, and also new data on various underdeveloped countries. Besides a discussion of monetary theories and fiscal policy in relation to the problems of economic growth he draws attention to the danger

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of overlooking the fact that economic growth is a long-run problem. He rightly stresses that (p. 179) 'when dirigistic measures have been applied for a long period it is possible for "political taste" to become different, to the extent that it is no longer possible to steer a good middle course between "power" and "economic law"'.

S. HERBERT FRANKEL

THE ADMINISTRATION OF TECHNICAL ASSISTANCE: Growth in the Americas. By Philip M. Glick. Foreword by H. Christian Sonne. University of Chicago Press; London, Cambridge University Press, 1957. xix+390 pp. Index. 4Is. 6d.

THIS further volume in the National Planning Association's series of research reports is devoted to the administrative history and problems of the three main suppliers of technical assistance in Latin America: the United States Government, the United Nations and Specialized Agencies, and the Organization of American States. The U.S. bilateral programme has been 'bedeviled and tortured by indecision and instability' (p. 175); 'no one is happy' about the administrative structure of the U.N. programme—it is 'a working compromise that is accepted by each of the contending groups in the fear that any likely alternative may be even less acceptable' (p. 249); whilst the administration of the regional training centres provided by the much more modest O.A.S. programme 'needs to be much improved' (p. 325). Dr Glick's descriptive analysis of the three programmes and their administrative structure is thorough and penetrating, though in the case of the U.N. and O.A.S. programmes he lacks the inside knowledge and experience which make his treatment of the problems encountered by the U.S. bilateral programme particularly authoritative and convincing. The whole book is inspired by an unusually imaginative understanding of the problems involved in programmes of external aid for development, and could be profitably studied by all those professionally interested in the subject. (But how many of them ever allow themselves time for study and reflection?)

DAVID BLELLOCH

THE ECONOMIC AND SOCIAL CONSEQUENCES OF AUTOMATION. By Frederick Pollock. Trans. by W. O. Henderson and W. H. Chaloner. Oxford, Blackwell, 1957. 276 pp. Tables. Bibliog. Index. 25s.

Few will argue that the development of automation heralds an era of technical changes as momentous and far-reaching as the industrial revolution. Opinion on the impact of these changes on society, however, is divided, ranging from optimism on the one hand to gloomy forebodings of mass unemployment and trade recessions on the other. The main object of Dr Pollock's book, which is translated from the German original sponsored by the University of Frankfurt, seems to be to destroy the complacency of the optimists. He is particularly severe on those who maintain that technological unemployment resulting from automation will be short-lived and that the 'automatic functioning of a free economy' will soon absorb any workers displaced by new machinery. He suggests rather that the uncontrolled introduction of automation might bring a social catastrophe that only a totalitarian government would be strong enough to handle. His evaluation is based on a historical assessment of developments that have taken place over the last fifty years, particularly in the United States, and other factors such as 'the increased sense of responsibility among employers'. His arguments are carefully expounded and supported with a wealth of references and statistical evidence.

Summing up, Dr Pollock inclines to an attitude of limited optimism. Automation, he maintains, can successfully be used to promote the welfare of the human race, but the new powers must not be left 'entirely to private enterprise and to the workings of a "free" market as envisaged by classical economists'